

Probate and Trusts

Probate is the legal process that validates your will and oversees the transfer of assets from your estate to your beneficiaries after your death. Probate takes place in the probate court of the city or county where the legal residence of the deceased was located. Wills must go through probate in order to be legally validated, a process that can take anywhere from a couple of weeks to several years to complete. Attorney and court costs usually range between 3 and 5 percent, so if the estate is worth \$100,000, the probate process costs between \$3,000 and \$5,000. The caretaker of the estate designated in the will, known as the executor, is also entitled a commission for the administration of the estate. The commission is based on the value of the probate estate and is usually determined by state statute.

Alternatives to Probate

One simple way to avoid probate is to transfer your assets to your loved ones during your life. Since the decedent will no longer own the property gifted away, this might be undesirable for a couple of reasons:

1. Once the donor relinquishes dominion and control to the donee, the donor will no longer have the right to use the asset, thus making them dependent on the whims of the donee.
2. Once the donor has transferred ownership, the donee can use the property to satisfy his creditors. In addition, the donee's future ex-spouse, in the event of separation or divorce, may have claims to the property.
3. For income tax purposes, the donee will assume the same cost as the donor. This means that if the property has significantly appreciated in value, the donee would be stuck with the donor's tax bill. If the donee had inherited the property at donor's death the tax gain would disappear.

Joint accounts with rights of survivorship is a form of co-ownership that says the title will automatically pass to the surviving owner should the other